

QUESTION 1

A manager needs a cost analysis and budget forecast to help decide on a new product development path. Which type of accounting provides this data?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Cost Accounting
- ☐ B. Tax Accounting
- ☒ C. Managerial Accounting
- ☐ D. Financial Accounting

Correct

 FEEDBACK

This branch focuses specifically on the internal operations of a company, delivering data to help managers with budgeting, forecasting, and development decisions.

QUESTION 3

What is the primary difference between Current Assets and Fixed Assets?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Current assets are physical, while fixed assets are intangible.
- ☐ B. Current assets are liabilities, while fixed assets are equity.
- ☐ C. Fixed assets are easily converted to cash, while current assets are not.

Correct

- ☐ D. Current assets are meant for liquidity and daily operations, while fixed assets are for long-term use.

 FEEDBACK

Current assets like cash and inventory support daily business, whereas fixed assets like plant and machinery are intended to generate revenue over a longer period.

QUESTION 4

According to the Measurement Principle, if a company purchased land for ₹100,000 a decade ago and its current market value is ₹500,000, at what value should it be recorded on the books?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. ₹300,000

- ☐ B. ₹100,000

Correct

- ☐ C. ₹600,000

- ☐ D. ₹500,000

 FEEDBACK

The Measurement or Cost Principle dictates that assets must be recorded at their original purchase price (historical cost) regardless of current market shifts.

QUESTION 5

A business delivers a product to a customer in October, but the customer does not pay until December. Under the Revenue Recognition Principle, when is the revenue recorded?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Divided equally between October and December.
- ☐ B. In December, when the cash is received.
- ☒ C. In October, when the goods were provided. Correct
- ☐ D. Only once the customer's promise to pay is legally verified in November.

 FEEDBACK

Revenue is recognized when goods or services are provided to the customer and the amount is earned, regardless of the timing of the cash receipt.

QUESTION 6

Ravi has ₹300 in cash sales and ₹200 in credit sales on June 1st. What is his total revenue for that day?

Answer is Correct

Score: 1 / 1

Options

Correct

- ☒ A. ₹500
-
- ☐ B. 200
- ☐ C. 100
- ☐ D. ₹300

 FEEDBACK

Revenue includes both cash and credit sales made during the period, as the service/product has been delivered in both cases.

QUESTION 7

Ravi pays ₹2,100 for a full week's rent on Day 1. At the end of Day 1, how is the remaining ₹1,800 classified?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Accrued Liability

- ☐ B. Dividend

- ☐ C. Prepaid Expense (Asset)

Correct

- ☐ D. Fixed Expense

 FEEDBACK

Since the money has been paid but the service for the remaining six days has not been used, it is an asset that provides future benefit.

QUESTION 8

A Business Data Manager is monitoring 'Working Capital'. Which two components must they subtract to find this value?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Fixed Assets and Long-term Debt
- ☐ B. Current Assets and Current Liabilities
- ☐ C. Total Assets and Total Liabilities
- ☐ D. Revenue and Operating Expenses

Correct

 FEEDBACK

Working capital specifically measures the short-term liquidity of a company by comparing daily resources with daily obligations.

QUESTION 9

If a company issues a share with a face value of ₹10 at a price of ₹50, where is the extra ₹40 recorded?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Capital Reserve
- ☐ B. Securities Premium
- ☐ C. Paid-up Capital
- ☐ D. Profit and Loss Account

Correct

 FEEDBACK

Any amount received above the face value of the shares during issuance is specifically categorized as securities premium within the reserves and surplus.

QUESTION 11

A company has the following accounts: Cash (₹20,000), Inventory (₹15,000), Machinery (₹100,000), Accounts Receivable (₹5,000), and Creditors (₹12,000). Based on the source material's definition of current assets and liabilities, calculate the 'Working Capital'.

Answer is Correct

Score: 3 / 3

Options

- ☐ A. ₹40,000
-
- ☒ B. ₹28,000
-
- ☐ C. ₹128,000
- ☐ D. ₹140,000

Correct

 FEEDBACK

Working capital is Current Assets (Cash ₹20, 000 + Inventory ₹15,000 + Receivables ₹5,000 = ₹40,000) minus Current Liabilities (Creditors ₹12,000)

QUESTION 12

Ravi's Lemonade Stand sells 60 glasses a day on average for the month of June (30 days) at ₹10 each. Daily operating expenses are ₹350. Additionally, he pays a monthly fixed rent of ₹500. If he decides to distribute 50% of his monthly profit as dividends, what amount remains in the business as 'Retained Earnings'?

Answer is Correct

Score: 3 / 3

Options

☐ A. ₹7,000☒ B. ₹3,500

Correct

☐ C. ₹9,000☐ D. ₹9,000 FEEDBACK

Total revenue is 18,000. Total expenses are 10,500 (operating) + 500 (fixed) = 11,000. Profit is ₹7,000. Half of this is 3,500.